

Stonks

- When you start seeing screenshots and want to take one yourself, might be a good time to fucking sell "short term" plays - Twice over - coinbase
- What needs to happen for this company to 10X?
- Is their product the best on market? - Are people aware?
- Is this the best company in the sector? (not second best, best)
- Is the CEO / founder exceptional? has a real track record?
- Has the company executed well in the past?
- Seek alpha - What people aren't aware of / aren't paying attention to?

Fundamentals:

- Know what you own & why you own it - "have a story"
- Focus on the companies' products and services (not the stock price)
- A company is just a group of people gathered to make & provide a product or a service
- "The outcome of any given company is the vector sum of the people within it"
- Don't rush buying - study first - product, roadmap, market share, competitors & etc.
- Study industries, great (selling) products & markets.
- Volatility - stock down? Company fundamentals strong? Buy more.
- If a company 10X's earnings, the stock price is likely to follow.

Superior Company:

- **Disrupting large market**

- **Significantly better product/service than competitors** - moat
- **World-class execution** (proven history)
- **A clear path to 10x valuation in 5-10 years** (10x earnings).
- Founder-led - (Engineering / Math / Physics background +++)
- Founder ("Immigrant mentality", High IQ, "hungry")
- CEO incentive - (High stock ownership vs high salary)

2026:

APP: 10.5.26

12\2023 - 9.82\$ low - news fud, "shit company", down 92%

12\2025 - 714\$ high - 4x FCF, "Great platform", "Legit CEO"

- Founder/ceo with 2 prior exists - track record & "safety cash"
- Clean platform - no bluff
- Great products
- Lean A+ teams

AMPL - 13.1.26

Pros:

- Founderr led, how "good" is he?
- 39% insider ownership +
- Partnering with anthropic ? +
- "Ride" & integrate AI wave? +

Cons:

- "Okay" product, not significantly better then others -

- Small market long term? people using AI to scrape & organize data
- Founder seems not as ambitious to grow exponentially

2025:

- Remember eric opening up a uniFI AP and saying "dam'n it feels premium & shit"? - \$UI 3x since - great products = "great" companies ting - 47B mc 30.10.25
- ~~Tarrif~~ "end"
- AI ramp obviously (LLM's, agents, real word robotics & AV)
- Should have sold coinbase at ATH & pivoted fully into hims long term? - current products don't seem that lucrative, base still not the "everything app". Might be wrong but 100B mcap seems like the max for a while.

29.8.25 - Celcius up 80X from 2019 to 2024 - What drove the consumer surge & team to push so hard? How could have you noticed it ?

27.8.25 - \$DDS - why the fuck did it 16X over the last 5 years?

15.5.25 - \$Imnd interesting - smaller cap, large TAM, founder led, "product bs competitors??", Execution?!, AI!!!!!! - worth considering over counbase for the long term.

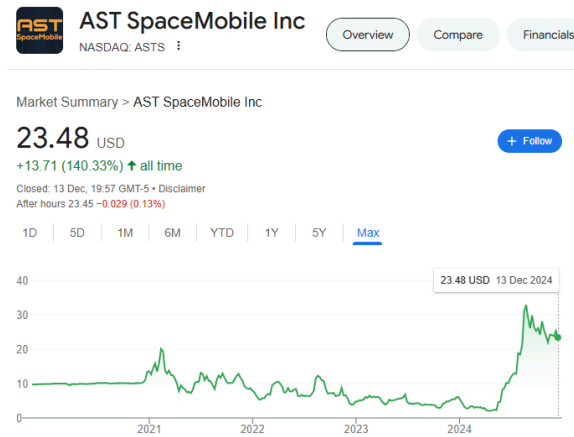
- Wtf are the best products? Why are they better than competitors?

2024:

- \$APP - why the fuck did an "under radar" advertising platform 7X this year?



- \$ASTS
 - Why did ASTS run up 13x in 3 months while Starlink has the better product?
 - How did the space internet market change this year?
 - How much did starlink grow?
 - What trends caused this?



HIMS

Pros:

- Online app & subscription model
- Huge potential markets - ONLY IF THEY CAN EXECUTE
- **Dheerja Kaur CPO (ex hood)**
- Founder led - immigrant
- Blood tests & T might have potential

Cons:

- Ownership: 77% ins vs 10% insiders

- Tons of bad reviews online - "Scammy, no refund, no customer service, greedy, no ethics, just trying to profit" - BAD
- GLP1 "dependent" for growth which other shit scales if proven
- **P/E - 100??**
- **Ton of Insider selling this year - long term incentives?**
- Heavily rely on DTC marketing - LTV problem? Bad word of mouth?
- Shady CEO behavior?

▼ BS list:

- What needs to happen for this company to 10X? -- Increase profit 10X, succeed on new products & heavily improve customer service
- Is their product the best on market? - Are people aware? -- Products are "okay", but service seems TRASH, shit ton of negative reviews
- Is the CEO / founder exceptional? has a real track record? -- "College dropout", "immigrant mentality, no real track record"
- Has the company executed well in the past? -- GLP introduced well, needs to watch T
- Seek alpha - What people aren't aware of / aren't paying attention to? -- "Hormones & peptides", but service needs to improve drastically

Fundamentals:

- Know what you own & why you own it - Because a guy on X believes in it ?
- Focus on the companies' products and services (not the stock price) - meh products, service seems somewhat Trash & "scammy" RN
- "The outcome of any given company is the vector sum of the people within it" - Andrew & recent ex robinhood hire might cook, other team unknown
- Don't rush buying - study first - product, roadmap, market share, competitors & etc. - Product roadmap → hair, ED → "mental" → GLP → Testosterone → Peptides? + personalized blood checks & shit

- Study industries, great (selling) products & markets → Big TAM
- Volatility - stock down? Company fundamentals strong? Buy more.- > Spac listing damn
- If a company 10X's earnings, the stock price is likely to follow. → Possible if service improves drastically

Superior Company:

- **Disrupting large market** → Y
- **Significantly better product/service than competitors** - moat -- Nah, platform & aggressive marketing / sleek "branding" atm
- **World-class execution** (proven history) - Solid growth, some hiccups
- **A clear path to 10x valuation in 5-10 years** (10x earnings). - Possible if service improves
- Founder-led - (Engineering / Math / Physics background +++) -- Ye, Seems more on the "marketing" side, might be wrong
- Founder ("Immigrant mentality", High IQ, "hungry") -- immigrant mentality, questionable rn
- CEO incentive - (High stock ownership vs high salary) - Was 10% owner, no diluted

Coin

Pros:

- More institutional money moving to crypto (via etf's & etc) → increased revenue over time
- USDC & base products
- "Most trusted exchange"
- Ownership: 40% ins vs 30% insiders
- Possible massive crypto adaptation with bitcoin price surge

- Founder led - seems open minded & capable
- Base - L2 - Might be promising
- Base "everything app"

Cons:

- No "extraordinary products" yet
- Depends strongly on BTC price overall.
- Can be cyclical based on overall crypto market
- **P/E - 30??**
- ~~Quite some Insider selling at recent 52 week highs — Dec 23~~

T e s l a

Pros:

- FSD & real world AI
- People love their products
- Engineering focused culture
- Solar & storage biz
- Optimus long term
- Extreme real world data collection moat & vertical ingratiation with other tech / companies.
- No bs \ no politics execution culture
- Founder led

Cons:

- High ?? **P/E** while still growing.

H o o d

Pros:

- People love their products overall - CC positive tweets, bonus tweets, reddit posts & etc
- Gold subscription model (similar to Amazon prime)
- Simplicity & UI / UX "moat"
- Millennials wealth transfer (old 401K to RH)
- "Best value" deals in industry
- Global expansion
- Long term visioned
- Founder led - Vlad sees Elon as his "hero" for the last 10 years - shares values probably

Cons:

- Meme stock limiting scandal in ~2021, still has some "bad brand" reputation

J e p q / Q Q Q I Q

- 1M when 10M liquid - 9.5% divided yearly

▼ H i s t o r y

▼ C r o x (Sold)

C r o x - Bought - Sold - 11.12.23

Pros:

low 9 P/E , insider buying, Genuine online hype & comeback, people like the product, Heydude subbrand

Q3/23 - Overall growth is sales & product lineup (sandals seem sick).

but rapid growth still unlikely compared to other industries like crypto or "AI".

A lot lower retail "drive".

Cons:

86% ins owned,

Shoes? how much growth is there realistically ?

▼ Past Researches:

20.12.23 Research:

- Crypto mining companies? Mara for example vs coinbase? - Seems obvious the crypto will slowly "take over".. other than coins. Which companies can benefit the most & 5X ? In january this year Coinbase was at it lowest.. intersting chance to buy, but fundamentals werent there. What company is in a similar position? with a great team / leader & **Products** in the industry (Where insiders are buying the low's - like \$mara at 3 in december last year).
- Ai Generation - Dalle / Pika labs / Suno or sound / Midjourney & etc.. How will they capture value long-term? How do you charge for those services & what? Who can be the winner? Definitely an interesting field.

21.12.23 Research:

- Crypto / broker tehx - \$HOOD - Bad brand rep after the whole GameStop saga (Limiting selling/ buying) & front running trading - seems shady.
- EV Sector - \$FSR - 570m in valuation, 52-week low - Looks very tempting. Financials are ass.. 500M in cash with 2B in debt. The product honestly seems pretty good but some find issues with it (Software mainly is what Stood out). Henrick Fisker is the CEO & his

wife is the CFO - weird dynamic..People love the designs of the cars & the product roadmap looks solid if, Big fucking hard "if" they can execute. Additionally there were problems with delivering manufactured cars to owners & etc.. To say the least:

- Cash position pretty bad - 3.4 D\E.
- The product seems good but manufacturing & delivery seems problematic.
- Management might be problematic (Husband \ wife relations).

▼ Note page:

\$ FSA - 1.42 \$ - 21/12/23

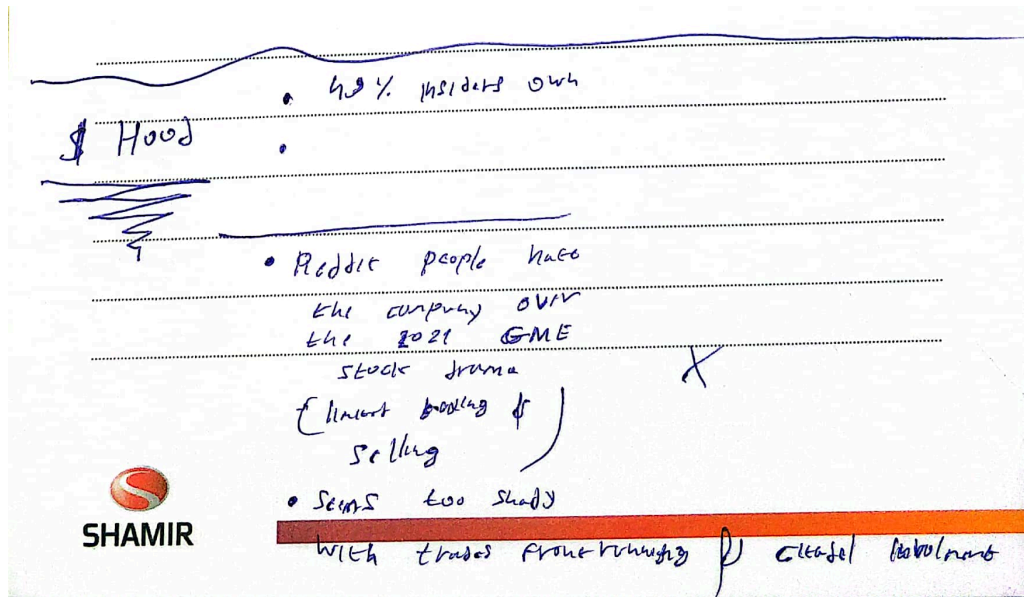
Good: Bad:

- 500M in cash - Burning ~100M a month
- People have issues with the product & complains online
- Fisher CEO & wife CFO - good dynamics?
- 2B in debt - (D/E) - 3.44
Debt Equity

Good:

- Reddit folks like the design & some overall - the product
- customer support seems to handle & try to do best online

\$ PV



28.12.23 Research - 3D Printing Industry:

- \$DDD - 3d printing, stock is in a crazy low (director bought 100k shares at ~4.9-5.5 levels currently at 6.60) in the 3d printing industry. The question is.. can they come back & create great products & sell more & earn more? 880 million MC with around 450 Million in the bank & "1.2B in assets". Check more companies in the industry.
- DM - Really sat on it, insider owned, CEO seems "all in", Seems to have big clients like tesla, spacex, the military, & etc..etc.., Q3 2023 Presentation seems product & market focused, 260m (MC) with 200m in revenue ttm. But..low cash in the bank, Spac ipo, sales took a fall, inventory build up.. Overall still a lot of questions to answer to see if plausible.. & the industry is pretty packed.
- \$PRLB - barely looked
- Freeroam - Still private but pretty interesting

Looked at ark invest print etf for inspo.

▼ Note page

- \$DDD →
- 3% _{Insider} VS 65% _{Inst} Ownership
 - Director Bought 100k shares (November)
 - 445 mil in the bank
 - Product Road map seems boring as if "dead"
 - "Talent" doesn't seem focused on engineering

\$PRLB

- Outlook seems long term (Talking about Total Future addressable market)
- CEO Bought more shares in the last 2 years (books)

- \$DM
- 34% _{Insider} VS 38% _{Inst}
 - Big clients - Tesla, SpaceX, military, BMW, etc... etc... etc...
 - Product & market focused
 - 260 M (MC) - 200M sales TTM
 - CEO 7.0% - Largest Share holder



3.1.24 "reflection":

(3/1/24)

- Why did I "miss" \$Meta?
- Why did I undervalue it in the past?

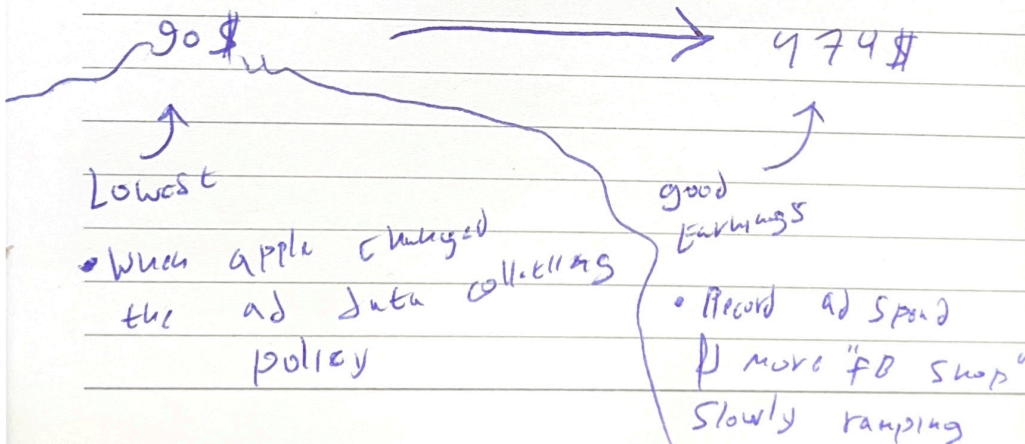
1 Wasn't "looking" at investments I guess. Seeking dickweed stocks & shit.

2 Didn't value meta's advertising biz as much probably just based on "Elon vs Zuckerberg" & slept on the slowly creeping AI flame models.

\$Meta

30/12/22

3/1/24



▼ 10.2.24 - RBLX & VR interest:

- "Digital worlds" emerging more & more. More experiences online (Disneyland being "disrupted"), Travis Scott concert in Fortnite & etc.

- Can Roblox be one of the leading platforms for devs/consumers?
- How good is their product compared to others?
- What are their main revenue segments?

- Apple VR v1 headset will only get better & metas quest also. Seems inevitable combined with digital worlds overall.

- who will will in this "world"?
- What products will be most used?
- What companies & teams could create those products & capture the value?

20.2.24 - Lil "research"

- crypto - \$KIZUNA for example went crazy last couple months. Why? Not fucking sure. \$ens - seems actually to have a product behind it, interesting to say the least, actually worth to consider.
- Companies - Klaviyo - founder led, almost no debt, high internal ownership but addressable market seems quite low atm? & are their products the best in the market (Email, sms, reviews & etc for Ecom)

▼ 8.3.24 - lil Roku research 🤖

8.3.24

65\$ (9.5B MC) (3.5B TRM Rev)

\$190M

- + • Overtime - 80\$ bill lower TV Ad market → covered TV ad market
- People seem to like the products (Media)
- 80 million active accounts (total last year)
- Really good product reaches on YT (TVS)
- focused on increasing advertising Revenue VS a better overall service (might be wrong)
- Very "competitive" market with apple tv, google & etc

overall:

- long term → Less lower TV Ad spend → more contented TV ad spend → more advertising revenue
- Don't really see a 2x earnings in 2024
- long term (2-3x) MC definitely possible

- "Identify *companies* whose *products* you love. Does it seem like they'll continue to ***make great products?*** Buy that *stock* and hold it. That's it." - EM
- "If you look at **public companies that are founder led**, they actually outperform the rest of the s&p 500..one theory for why that is: the scarcest thing inside big companies is risk tolerance & so founders can kind of provide that" - Bryan Armstrong
- I invested in TSLA and GOOG at IPO because I believed in what they were doing and **loved their products**. I still own every share from both companies and have never regretted those decisions. I did not wait for others to validate my decision. For TSLA it took ~8 years to realize the potential



Elon Musk  
@elonmusk

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Output of any company is the vector sum of people within it. Someone may be a strong vector, but negatively affect those around them to such a degree that they are a net negative.

8:11 PM · Nov 13, 2022



Serenity
@aleabitorreddit

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Last year I shared my 1 year return:

630.44% before I even joined X.

Lot of conspiracy theorists out there.

But I do happen to be a decent discretionary trader.

Large part of it was

- > front-running halving
- > buying **\$RKLB** in the 10's
- > buying **\$HOOD** in the 10's
- > catalyst trading Presidential nominations
- > riding multiple waves up.

Majority of people don't rotate and sit on a single stock the entire time.

The trick is to ride every wave up and if earnings start to slow/stop, move on to the next and don't get too attached to a stock.

It's the same thing with this year, just different sectors and catalysts.



Dave Lee ✓
@heydave7



Don't bet against a leader and company obsessed at making great products.



Elon Musk ✓  @elonmusk · Oct 5, 2018

People sometimes forget that a company is just a group of people gathered together to make products. So long as it makes great products, it will have great value.

4:44 PM · Dec 10, 2024 · **48.6K** Views



32



70



1K



22





Elon Musk   
@elonmusk

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The full answer here is complex.

The outcome of any given company is the vector sum of the people within it. Improve the alignment of the individual vectors and their amplitude and the outcome will improve accordingly.

Humans can be thought of as hardware (inherent talent) and software (education & training). Even if someone has a strong brain/hardware, if their training/software is bad, that can be very hard to reverse. As the saying goes, it is hard to teach old dogs new tricks.

That said, talking in terms of specific companies, Boeing is on a much better track with the new CEO. The prior guy had no idea how airplanes or rockets worked. Just zero.

Regarding space, the Artemis architecture is extremely inefficient, as it is a jobs-maximizing program, not a results-maximizing program. Something entirely new is needed.

9:12 PM · Dec 25, 2024 · **1.4M** Views



673



926



7.6K



2K





Trav ✓

@hypergrowth102

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The main boxes I check in filtering out a potential 100x company-

- 1) Small cap
- 2) Founder led
- 3) 10x better product/service than the competition.
- 4) Low bankruptcy risk = large cash runway and/or profitable (or on the brink of profitability).
- 5) Highly disrupt-able market (think healthcare, insurance or other painfully archaic industries).
- 6) Massive TAM (nice to see the company monopolize a niche first, with opportunity to expand into other bigger markets).
- 7) Preferably a non capital intensive industry (stay away from airlines, auto, etc)
- 8) Something I understand, which equates to a competitive landscape I can identify relatively easy.
- 9) Hated stock = your friend
- 10) Gut feeling is a "hell yes." This way it is something you can easily hold through a 50% drawback.

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21



15



144



118





Trav ✓

@hypergrowth102

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If you want 50% + annual returns you should be buying small caps that are -

- 1) Founder led
- 2) Direct to consumer
- 3) 10x better than the competition
- 4) Has a massive TAM
- 5) Has sufficient cash and/or positive income
- 6) You have conviction in (so you do not sell)
- 7) Disrupting a highly inefficient industry
- 8) Has significant undervaluation

Last edited 9:50 PM · May 29, 2024 · **7,997** Views



10



9



69



34



Relevant ▾

View quotes >

▼ Dave Lee Sause (Superior company):



Dave Lee ✓
@heydave7



"Time is on your side when you own shares of superior companies." -
Peter Lynch

11:26 PM · Jul 3, 2021



Dave Lee

 @heydave7 · Jul 3, 2021

This is my kind of "superior company":

1. Disrupting large market
2. Significantly better product/service than competitors
3. World-class execution
4. Clear path to 10x valuation in 5-10 years.

10

14


 259







Dave Lee

 @heydave7 · Jul 3, 2021

1. "Disrupting a large market" because oftentimes the size of the fishbowl will determine the size of the fish.

5

7


 109







Dave Lee

 @heydave7 · Jul 3, 2021

2. "Significantly better product/service than competitors" because most people underestimate how difficult it is to get noticed by anybody as a new company in a crowded market.

2

4


 99







Dave Lee

 @heydave7 · Jul 3, 2021

3. "World-class execution" because as a company grows they need to enter adjacent markets that can only be won by out-executing. And the larger the market, the more fierce the competitors.

3

4


 109







Dave Lee

 @heydave7 · Jul 3, 2021

4. "Clear path to 10x valuation in 5-10 years" because those returns are life-changing, possible, and reflect what a standout growth company can return in terms of creating value. Plus, index funds are boring. 😊

2

6


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▼ **STOCKS IN GENERAL (P.L sauce)**

- The p/e ratio. Is it high or low for this particular company and for similar companies in the same industry.

- The percentage of institutional ownership. The lower the better.
- Whether insiders are buying and whether the company itself is buying back its own shares. Both are positive signs.
- The record of earnings growth to date and whether the earnings are sporadic or consistent. (The only category where earnings may not be important is in the asset play.)
- Whether the company has a strong balance sheet or a weak balance sheet (debt-to-equity ratio) and how it's rated for financial strength.
- The cash position. With \$16 in net cash, I know Ford is unlikely to drop below \$16 a share. That's the floor on the stock.

▼ Peter Lynch more sauce Sause:

SLOW GROWERS

- Since you buy these for the dividends (why else would you own them?) you want to check to see if dividends have always been paid, and whether they are routinely raised.
- When possible, find out what percentage of the earnings are being paid out as dividends. If it's a low percentage, then the company has a cushion in hard times. It can earn less money and still retain the dividend. If it's a high percentage, then the dividend is riskier.

STALWARTS

- These are big companies that aren't likely to go out of business. The key issue is price, and the p/e ratio will tell you whether you are paying too much.
- Check for possible diworseifications that may reduce earnings in the future.

- Check the company's long-term growth rate, and whether it has kept up the same momentum in recent years.
- If you plan to hold the stock forever, see how the company has fared during previous recessions and market drops. (McDonald's did well in the 1977 break, and in the 1984 break it went sideways. In the big Sneeze of 1987, it got blown away with the rest. Overall it's been a good defensive stock. Bristol-Myers got clobbered in the 1973–74 break, primarily because it was so overpriced. It did well in 1982, 1984, and 1987. Kellogg has survived all the recent debacles, except for '73–'74, in relatively healthy fashion.)

CYCLICALS

- Keep a close watch on inventories, and the supply-demand relationship. Watch for new entrants into the market, which is usually a dangerous development.
- Anticipate a shrinking p/e multiple over time as business recovers and investors look ahead to the end of the cycle, when peak earnings are achieved.
- If you know your cyclical, you have an advantage in figuring out the cycles. (For instance, everyone knows there are cycles in the auto industry. Eventually there are going to be three or four up years to follow three or four down years. There always are. Cars get older and they have to be replaced. People can put off replacing cars for a year or two longer than expected, but sooner or later they are back in the dealerships. The worse the slump in the auto industry, the better the recovery. Sometimes I root for an extra year of bad sales, because I know it will bring a longer and more sustainable upside. Lately we've had five years of good car sales, so I know we are in the middle, and perhaps somewhere close to the end, of a prosperous cycle. But it's much easier to predict an upturn in a cyclical industry than it is to predict a downturn.)

FAST GROWERS

- Investigate whether the product that's supposed to enrich the company is a major part of the company's business. It was with L'eggs, but not with Lexan.
- What the growth rate in earnings has been in recent years. (My favorites are the ones in the 20 to 25 percent range. I'm wary of companies that seem to be growing faster than 25 percent. Those 50 percenters usually are found in hot industries, and you know what that means.)
- That the company has duplicated its successes in more than one city or town, to prove that expansion will work.
- That the company still has room to grow. When I first visited Pic 'N' Save, they were established in southern California and were just beginning to talk about expanding into northern California. There were forty-nine other states to go. Sears, on the other hand, is everywhere.
- Whether the stock is selling at a p/e ratio at or near the growth rate.
- Whether the expansion is speeding up (three new motels last year and five new motels this year) or slowing down (five last year and three this year). For stocks of companies such as Sensormatic Electronics, whose sales are primarily "one-shot" deals—as opposed to razor blades, which customers have to keep on buying—a slowdown in growth can be devastating. Sensormatic's growth rate was spectacular in the late seventies and early eighties, but to increase earnings they had to sell more new systems each year than they had sold the year before. The revenue from the basic electronic surveillance system (the one-time purchase) far overshadowed whatever they got from selling those little white tags to their established customers. So, in 1983, when the rate of growth slowed, earnings didn't just slow, they dived. And so did the stock, from \$42 to \$6 in twelve months.
- That few institutions own the stock and only a handful of analysts have ever heard of it. With fast growers on the rise this is a big plus.

TURNAROUNDS

- Most important, can the company survive a raid by its creditors? How much cash does the company have? How much debt? (Apple Computer had \$200 million in cash and no debt at the time of its crisis, so once again you knew it wasn't going out of business.)

What is the debt structure, and how long can it operate in the red while working out its problems without going bankrupt? (International Harvester—now Navistar—was a potential turnaround that has disappointed investors, because the company printed and sold millions of new shares to raise capital. This dilution resulted in the company's having turned around, but not the stock.)

- If it's bankrupt already, then what's left for the shareholders?
- How is the company supposed to be turning around? Has it rid itself of unprofitable divisions? This can make a big difference in earnings. For example,

in 1980 Lockheed earned \$8.04 per share from its defense business, but it lost \$6.54 per share in its commercial aviation division because of its L-1011 TriStar passenger jet. The L-1011 was a great airplane, but it suffered from competition

with McDonnell Douglas's DC10 in a relatively small market. And in the longdistance market, it was getting killed by the 747. These losses were persistent,

and in December, 1981, the company announced that it would phase out the L1011. This resulted in a large write-off in 1981 (\$26 per share), but it was a onetime loss. In 1982, when Lockheed earned \$10.78 per share from defense, there

were no more losses to deal with. Earnings had gone from \$1.50 to \$10.78 per share in two years! You could have bought Lockheed for \$15 at the time of the L-1011 announcement. Within four years it hit \$60, for a fourbagger.

Texas Instruments was another classic turnaround. In October, 1983, the company announced it would leave the home-computer business (another hot industry with too many competitors). It had lost over \$500 million from home computers in that year alone. Again, the decision made for big write-offs, but it

meant that the company could concentrate on its strong semiconductor and defense-electronics businesses. The day after the announcement, TI stock spurted from \$101 to \$124. And four months later it was \$176.

Time also has sold off divisions and dramatically cut costs. It is one of my favorite recent turnarounds. Actually it's an asset play as well. The cable-TV part

of the business is potentially worth \$60 a share, so if the stock sells for \$100, you're buying the rest of the company for \$40.

- Is business coming back? (This is what's happening at Eastman Kodak, which has benefited from the new boom in film sales.)
- Are costs being cut? If so, what will the effect be? (Chrysler cut costs drastically by closing plants. It also began to farm out the making of a lot of the parts it used to make itself, saving hundreds of millions in the process. It went from being one of the highest-cost producers of automobiles to one of the lowest.

The turnaround in Apple Computer was harder to predict. However, if you'd been close to the company, you might have noticed the surge in sales, the costcutting, and the appeal of the new products, which all came at once.)

ASSET PLAYS

- What's the value of the assets? Are there any hidden assets?
- How much debt is there to detract from these assets? (Creditors are first in line.)
- Is the company taking on new debt, making the assets less valuable?
- Is there a raider in the wings to help shareholders reap the benefits of the assets?

Here are some pointers from this section:

- Understand the nature of the companies you own and the specific reasons for holding the stock. ("It is really going up!" doesn't count.)

- By putting your stocks into categories you'll have a better idea of what to expect from them.
- Big companies have small moves, small companies have big moves.
- Consider the size of a company if you expect it to profit from a specific product.
- Look for small companies that are already profitable and have proven that their concept can be replicated.
- Be suspicious of companies with growth rates of 50 to 100 percent a year.
- Avoid hot stocks in hot industries.
- Distrust diversifications, which usually turn out to be diworseifications.
- Long shots almost never pay off.
- It's better to miss the first move in a stock and wait to see if a company's plans are working out.
- People get incredibly valuable fundamental information from their jobs that may not reach the professionals for months or even years.
- Separate all stock tips from the tipper, even if the tipper is very smart, very rich, and his or her last tip went up.
- Some stock tips, especially from an expert in the field, may turn out to be quite valuable. However, people in the paper industry normally give out tips on drug stocks, and people in the health care field never run out of tips on the coming takeovers in the paper industry.
- Invest in simple companies that appear dull, mundane, out of favor, and haven't caught the fancy of Wall Street.
- Moderately fast growers (20 to 25 percent) in nongrowth industries are ideal investments.
- Look for companies with niches.
- When purchasing depressed stocks in troubled companies, seek out the ones with the superior financial positions and avoid the ones with loads of bank debt.
- Companies that have no debt can't go bankrupt.
- Managerial ability may be important, but it's quite difficult to assess. Base your purchases on the company's prospects, not on the president's resume or

speaking ability.

- A lot of money can be made when a troubled company turns around.
- Carefully consider the price-earnings ratio. If the stock is grossly overpriced, even if everything else goes right, you won't make any money.
- Find a story line to follow as a way of monitoring a company's progress.
- Look for companies that consistently buy back their own shares.
- Study the dividend record of a company over the years and also how its earnings have fared in past recessions.
- Look for companies with little or no institutional ownership.
- All else being equal, favor companies in which management has a significant personal investment over companies run by people that benefit only from their salaries.
- Insider buying is a positive sign, especially when several individuals are buying at once.
- Devote at least an hour a week to investment research. Adding up your dividends and figuring out your gains and losses doesn't count.
- Be patient. Watched stock never boils.
- Buying stocks based on stated book value alone is dangerous and illusory. It's real value that counts.
- When in doubt, tune in later.
- Invest at least as much time and effort in choosing a new stock as you would in choosing a new refrigerator.